Q20

(i)

The North American subsidiary is a very small part of the Group. It could simply be a distraction for M's Board. [1]

The fact that the offer for the company suggests that it will be sold at a loss implies that it has not been a successful investment for M. [1]

Selling now could be an opportunity to divest a subsidiary that has already declined in value, and may decline further. [1]

It may make more sense to divest the subsidiary in order to release cash that could be used in a more productive manner elsewhere in Europe or Asia. [1]

It may be that the insurance industry is very different in North America and that M simply does not have the necessary skills or experience to grow there. [1]

There is very little downside to the disposal in terms of equipping competitors. [1]

Geographical distance will mean that a rival insurer who buys this subsidiary will not have any real advantage in terms of brand recognition in Europe or Asia. [1]

[Total 7]

(ii)

The shareholders may be concerned that the loss on disposal of the subsidiary indicates incompetence on the part of M's Board. [1]

One would expect a business to expand and grow in value over time and so making a sale at a loss of $40 million after nine years of ownership might raise concerns about governance. [1]

Presumably, the acquisition of the subsidiary was announced in a positive manner, with the Board presenting this as an opportunity to expand into a major new market. [1]

The shareholders will be unhappy that the Board has failed to maintain the value of their investment, and has failed to deliver growth. [1]

It could be argued that the fact that M's Board is prepared to sell in this situation is a sign of integrity. [1]

From an agency point of view, the Board will not have to disclose the market value of the North American subsidiary if it maintains ownership of it. [1]

The sale creates transparency in relation to the problems with this subsidiary, which could reassure the shareholders to some extent. [1]

[Total 7]

(iii)

It would be unacceptable for M to simply keep such a large cash balance without making some productive use of it. [1]

Settling existing loans will save on future finance costs and so there will be some benefit in terms of future profits. [1]

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The repayment will also reduce M's gearing, which will create an opportunity to raise replacement loans in the future if an opportunity becomes available. [1]

It could be argued that using the cash in this way implies a lack of imagination on the part of the Board. [1]

The investment will effectively yield a return equal to M's cost of debt, which is unlikely to be a significant rate. [1]

It would be preferable for M to use the cash to invest in a more profitable venture, such as an expansion of operations in Europe or Asia. [1]

[Total 6]

[Total 20]

Commentary:
This question was on finance which is usually the area of the syllabus which is not answered well by candidates. It is good to be able to report that this question was done well by many candidates. *Part I was done very well by many candidates with the most understanding of why selling the subsidiary was disappointing but probably a reasonable idea. Part ii was also answered quite well by many candidates as was part three where candidates discussed ideas for uses of the extra cash gained by the sale. Most ideas were good and in general, question 20 was answered well.*

[Paper Total 100]

END OF EXAMINERS' REPORT

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